



Cambridge International AS & A Level

ECONOMICS

9708/P1H

Paper 1 AS Level Multiple Choice

PAPER 1 (PREDICTED) - HARD**1 hour**

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has 9 pages. Any blank pages are indicated.



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- 1** A farmer owns 100 hectares of land. On one hectare she can earn a profit of \$1200 from wheat or \$900 from sheep. She chooses to use 60 hectares for wheat and 40 hectares for sheep.

What is the opportunity cost of her wheat production?

A \$36 000 **B** \$54 000 **C** \$72 000 **D** \$108 000

- 2** An economy is operating on its production possibility curve.

What must be true of this economy?

A It is achieving productive efficiency.
B It is achieving allocative efficiency.
C Scarcity has been eliminated.
D All resources are equally paid.

- 3** A country discovers new oil reserves that are commercially viable.

What is the most likely effect on the country's production possibility curve between oil and manufactured goods?

A a shift of the whole curve outward
B a shift of the whole curve inward
C a movement along the curve
D no change whatsoever

- 4** In a free market economy, how are scarce resources primarily allocated?

A by central planning of government
B by the price mechanism
C by cultural tradition
D by voting in referenda

- 5** Which event would most likely cause a country's production possibility curve to shift inward?

A an increase in net migration
B a natural disaster destroying farmland and factories
C improvements in production technology
D a reduction in structural unemployment

- 6 The demand for petrol is price inelastic.
What happens to total expenditure on petrol when its price rises?
- A It falls.
B It rises.
C It remains unchanged.
D The effect cannot be determined.
- 7 Which pair of goods would most likely have a negative cross-elasticity of demand?
- A tea and coffee
B butter and margarine
C cars and petrol
D beef and chicken
- 8 A good has a price elasticity of supply of 0.4. The price of the good rises by 10%.
What is the change in quantity supplied?
- A rises by 2.5% B rises by 4.0% C rises by 10.0% D rises by 40.0%
- 9 A government imposes a specific indirect tax of \$2 per unit on a good. Before the tax, the equilibrium was 100 units at \$5 per unit. After the tax is imposed, the equilibrium quantity falls to 80 units.
What is the tax revenue raised by the government?
- A \$160 B \$200 C \$400 D \$500
- 10 A luxury car producer finds that the income elasticity of demand for its cars is +2.5. During a recession, real incomes fall by 5%.
What is the likely effect on demand for luxury cars?
- A rises by 12.5% B falls by 12.5% C rises by 2.5% D falls by 2.5%
- 11 A negative externality of consumption occurs when:
- A marginal social benefit exceeds marginal private benefit
B marginal private benefit exceeds marginal social benefit
C marginal social cost exceeds marginal private cost
D marginal private cost exceeds marginal social cost

- 12** A government sets a maximum price below the free-market equilibrium price for bread. What is the most likely consequence?
- A** a surplus of bread
 - B** a shortage of bread
 - C** an increase in producer surplus
 - D** an increase in supply of bread
- 13** A subsidy is paid to producers of a good that has inelastic demand and elastic supply. Who gains the larger share of the subsidy?
- A** consumers **B** producers **C** the government **D** foreign importers
- 14** Consider the statement: 'Income inequality has increased in the country during the past decade and this is unfair.'
- What type of statement is this?
- A** entirely positive
 - B** entirely normative
 - C** partly positive and partly normative
 - D** neither positive nor normative
- 15** Nominal GDP grows by 4%. The population grows by 2%. The GDP deflator rises by 3%. What is the approximate change in real GDP per capita?
- A** a fall of 1% **B** a rise of 1% **C** a fall of 2% **D** a rise of 5%
- 16** Which item is included in GNI but not in GDP?
- A** tourism spending by foreign visitors
 - B** profits earned by domestic firms operating overseas
 - C** wages paid to foreign workers domestically
 - D** exports of manufactured goods
- 17** An economy has a natural rate of unemployment of 5%. The actual unemployment rate is currently 4%.
- What does this most likely indicate?
- A** demand-deficient unemployment exists
 - B** the output gap is negative
 - C** there is inflationary pressure in the economy
 - D** real wages are falling

- 18** Why is the long-run aggregate supply (LRAS) curve vertical in the classical model?
- A** because wages are always rigid
 - B** because prices are sticky in the long run
 - C** because output is determined by factor endowments and technology
 - D** because the government controls the level of output
- 19** Which of the following would most likely shift the long-run aggregate supply curve to the right?
- A** an increase in labour productivity
 - B** a rise in the minimum wage
 - C** a rise in raw material prices
 - D** a rise in corporation tax
- 20** A country's money supply grows persistently faster than its real output.
According to the quantity theory of money, the most likely consequence is:
- A** deflation **B** disinflation **C** inflation **D** hyperinflation
- 21** What is the relationship between a government's annual fiscal deficit and its national debt?
- A** They refer to the same thing.
 - B** The fiscal deficit is a stock; the national debt is a flow.
 - C** The fiscal deficit is a flow; the national debt is the accumulated stock.
 - D** The national debt is annual; the fiscal deficit is long term.
- 22** In a simple closed economy with no government, the marginal propensity to consume is 0.8.
What is the value of the expenditure multiplier?
- A** 1.25 **B** 2 **C** 4 **D** 5
- 23** Which relationship does the short-run Phillips curve illustrate?
- A** a negative relationship between inflation and unemployment
 - B** a positive relationship between inflation and unemployment
 - C** an inverse relationship between wages and employment
 - D** a positive relationship between interest rates and inflation

- 24** A country's currency appreciates significantly on the foreign exchange markets.
What is the most likely immediate effect?
- A** higher exports and lower imports
 - B** lower exports and higher imports
 - C** higher exports and higher imports
 - D** lower exports and lower imports
- 25** Which of the following is a non-tariff barrier to trade?
- A** import duty **B** ad valorem tax **C** import quota **D** export tax
- 26** Country X can produce either 10 tonnes of wheat or 20 cars per worker. Country Y can produce either 8 tonnes of wheat or 12 cars per worker.
Which statement is correct?
- A** X has a comparative advantage in wheat; Y in cars.
 - B** Y has a comparative advantage in wheat; X in cars.
 - C** X has a comparative advantage in both goods.
 - D** Y has a comparative advantage in both goods.
- 27** A country's import price index rises from 100 to 115 while its export price index rises from 100 to 110.
What is the approximate change in the terms of trade?
- A** improve by 5% **B** worsen by 5% **C** improve by 4.3% **D** worsen by 4.3%
- 28** Which of the following best describes the J-curve effect?
- A** the immediate improvement of the current account following a depreciation
 - B** the initial worsening of the current account before subsequent improvement following a depreciation
 - C** the effect of tariffs on the exchange rate
 - D** the relationship between inflation and the exchange rate
- 29** Which of the following would be recorded as a credit item in the current account of a country's balance of payments?
- A** purchase of imported machinery
 - B** interest paid to foreign investors
 - C** exports of software services
 - D** dividends paid to foreign shareholders

- 30** Which is most likely to be a consequence of an export subsidy?
- A** a fall in domestic consumer prices for the exported good
 - B** a fall in the profits of domestic producers
 - C** an improvement in the welfare of foreign consumers
 - D** a reduction in government spending

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